
Housing	\$10,188	33.3%
Transportation	6,950	22.7
Food and drink	5,302	17.3
Other	8,183	26.7
Total	\$30,623	100.0%

Housing takes a third of our income, and that percentage is going up. The Federal Reserve Board figures that new home buyers pay 30 percent of their income on mortgage interest alone. They pay thousands more to replace the roof, paint, fix leaky pipes, put up new wallpaper, hang the chandelier, put a wall around the yard, clean the pool, rake the leaves, and sweep the driveway. They pay taxes and insurance. With what's left over it's a wonder they can buy the baby a rattle.

A 47-year-old woman I know owns some apartments and wanted to retire. "Can I afford it?" she asked. "My net income from rentals is \$35,000 a year. That should go up steadily."

I said, "Anything more than \$18,000 a year is just mad money."

"Are you sure?" she asked. "I have expensive tastes. I ski with my kids, go to the opera, eat at fine restaurants, travel. Can I do all that on \$18,000 a year?"

I said, "Easy. Doing those things is what retirement is all about. But you're mistaken about one thing. What you want to do is cheap, not expensive. What's expensive is a \$3,000-a-month mortgage payment."

She agreed. "That's what I figured. To keep my rent down, I'm going to move into a small flat in one of my buildings. That way I pay no rent at all. I forfeit the \$300 a month a tenant would pay. But \$300 is nothing."

The last time I saw her she had a different sort of question. "My son and I are going skiing for two months this winter. Which do you recommend: Austria or Italy?"